

APEX MANUFACTURING — INTERNAL MEMORANDUM

Memo ID: MEMO-2025-041

Date: April 15, 2025

From: Sandra Chen, VP of Operations

To: All Procurement Staff

Subject: Updated Supplier Concentration Limits for Rare Earth Components

Following the recent supply disruptions in Q1 2025 related to rare earth material shortages, I am issuing updated guidance on supplier concentration limits for neodymium magnets and related rare earth components.

Effective immediately, the supplier concentration limit for neodymium magnets (RM-3003) is reduced from 70% to 50% for any single supplier. This supersedes the general critical component concentration limit stated in Procurement Policy Section 4.

Additionally, all purchase orders for neodymium magnets must include a secondary supplier allocation of at least 20% of the total order volume. This applies even when the secondary supplier has a higher per-unit cost.

The procurement team should work with MagnetPro Inc. (SUP-108) to increase their qualified capacity for N52-grade magnets. Until MagnetPro's capacity is confirmed sufficient, Nanjing Rare Earth Co. (SUP-107) remains our primary volume supplier, but orders must be structured to meet the new 50% concentration cap.

Please update all open and future purchase orders accordingly. Questions should be directed to the Procurement Manager.